

PAY

Smart payment terminal and VAS platform

Memorandum of understanding between the two parties. Both sign it. The product on the device is PAY. Red Face builds the software. Darren brings the commercial and investment side.

Between Red Face and Darren

Status: Prototype, moving into commercial development

This copy is for signature by both parties

28 September 2026

Who signs

This memorandum is between two parties:

1. **Red Face**, the technology and product party, acting through the person who signs for it on the last page.
2. **Darren**, the commercial and investment party. His full surname is written on the signature page before he signs.

Print two copies. Both parties sign both copies. Each party keeps one fully signed copy. A party has not agreed until that party has signed.

1

Executive summary

This project is building a new generation of smart payment terminals and merchant devices, so that more people and businesses can take part in the digital economy.

The objective is not simply another card machine. The broader vision is a platform that lets anyone sell, transact, and generate income from a connected payment and value-added-services terminal.

The device combines payment acceptance with airtime, data, electricity, and other digital products. That creates a path for merchants, informal traders, entrepreneurs, and people who do not have a traditional shop.

The long-term vision is a **small business in a box**: a physical device on a software platform, through which a person sells products and services and earns from each transaction.

Red Face is responsible for the software engineering, product development, system architecture, and the technical implementation already running in the prototype.

2

The core problem

Millions of people can sell, and still do not have:

- Traditional retail infrastructure
- An affordable point-of-sale system
- Business premises
- Payment infrastructure they can actually switch on
- Digital sales tools
- A second income that does not require a shop

Instead of asking people to build a business before they can use the technology, give them technology that helps them start earning.

A person at a street corner, a taxi rank, a school, an event, or inside a community could operate a terminal and sell airtime, mobile data, electricity, digital services, tickets, payment services, and other

approved products. The terminal is an income tool, not only a card machine.

3

Product vision

A smart merchant terminal ecosystem has three parts.

Physical terminal

Card, contactless, and cash where it applies. Airtime, data, electricity, and other VAS. Receipts, history, configuration, and remote software updates.

Terminal software

A simple screen for sales, services, transaction history, service status, settings, and software updates. The platform controls what the device is allowed to do.

Cloud platform

Registration, pairing, merchants, configuration, releases, health, transactions, audit, revocation, VAS, and operational reporting.

4

What Red Face has already built

The working prototype shows that one platform can register, pair, watch, configure, update, and revoke a fleet of terminals, and can sell both payments and digital services.

CAPABILITY	IN THE PROTOTYPE
Terminal registration	Each device gets a unique terminal identity.
Secure pairing	A one-time pairing code is exchanged for a device credential. The code cannot be reused.
Heartbeat and health	The platform sees connectivity, application health, backend reachability, and battery.
Remote configuration	Cash, card, tap, QR, receipts, and auto-update can be switched from the operations desk.
Software releases	A release is published to a terminal. The device does not install it merely because it exists.
Update verification	The package hash must match the published release before install.
Installation lifecycle	Detected, download, verify, install, health check, completed. Each heartbeat advances one step.
Rollback	A failed verification or a failed health check returns the terminal to the previous version.
Revocation	A remote revoke invalidates the paired device credential.
Payments	Cash completes for real in the ledger. Card, tap, and QR run as a practice flow until a certified reader and an acquirer are connected. The product does not ask anyone to type a card number or a PIN.
Transaction history	Sales are recorded with clear outcomes: success, pending, failed, timeout, duplicate, and provider error.
VAS	Airtime, data, electricity, vouchers, and SMS are already wired to a live South African provider, SIMcloud. Data is grouped the way the networks name the bundles.
Operations	Merchant desk, terminals, reconciliation, and a settlement view.

The lifecycle is enforced, not described: **update detected → download → verify → install → health check → completed**. A bad package or a failed health check ends in **rollback**.

5

The VAS and airtime opportunity

Value-added services are a commercial opportunity beside card payments. The same terminal can sell digital products.

- **Mobile:** airtime, data bundles, and related mobile services.
- **Utilities:** electricity and other prepaid utilities.
- **Digital products:** tickets, vouchers, and other approved products.

The platform is meant to own the commercial and technical layer through which these services are sold. A third-party provider is already connected so the product can enter the market without waiting for direct network contracts. The first provider is SIMcloud. Catalogue, pricing bands, and order states are live in the prototype.

The longer strategy is direct or wholesale relationships with service providers and mobile networks, where that is commercially and legally sound. That is how the company gains more control of pricing, margin, availability, routing, settlement, and the customer experience.

Today the live provider sell price equals the provider cost, so the demonstrated margin is zero until a markup is set. The practice catalogue uses a sample margin so the commercial shape is visible. Customer price, provider cost, and margin stay separate in the books.

6

The bigger commercial vision

This is not a single card machine. It is a distributed sales network. A person does not need a traditional shop to take part.

A young person could operate a terminal in their community and earn a margin on airtime, data, electricity, or other approved services.

The same system can sit at a taxi rank, a school, an event, a market, a salon, a restaurant, a small shop, a community centre, or a workplace. That is a network of micro-merchants. The terminal is a tool for commerce, payments, and income.

7

Future product concepts

The same hardware and software can carry specialised jobs beyond a shop counter. One concept already discussed is ticketing and access: ticket sales, ticket checks, airtime at the event, entry, transport-related services, and digital vouchers. Several businesses, one device platform.

8

Technology architecture

LAYER	RESPONSIBILITY
Device	The physical terminal.
Terminal application	The software on each device.
Device management	Registration, pairing, configuration, updates, health, security, revocation.
Transactions	Payment states, provider responses, reconciliation, history.
VAS	Airtime, data, electricity, digital services, catalogue, provider routing.
Merchant	Accounts, sales, reporting, commissions, users.
Administration	Operations, devices, releases, reporting, audit.

Card data never sits in this application. A future certified reader talks to the acquirer. PAY receives a result, not a card number, PIN, or security code.

9

Development strategy

Build on the prototype. Do not restart it.

Phase 1 – Foundation, already demonstrated

Registration, pairing, heartbeat, configuration, releases, package verification, installation, health checks, rollback, revocation, cash sales, practice card and tap, transaction history, the operations desk, and a live VAS connection for airtime, data, electricity, vouchers, and SMS.

Phase 2 – Commercial connections still required

Certified payment hardware. An acquirer and payment provider, so a real card can be taken. A markup and commission engine on VAS. Durable merchant accounts. Reconciliation against the acquirer, not only the sandbox ledger.

Phase 3 – Commercial platform

Merchant dashboard, controlled catalogue and pricing, commission management, provider routing, settlement, reporting, and customer management.

Phase 4 – Scale

More terminals, more merchants, more VAS providers, wholesale relationships where they make sense, broader payment methods, and further applications on the same device.

10

Red Face's contribution

Red Face's contribution is the technology and the product: software engineering, backend and APIs, the terminal application, cloud infrastructure, device management, payment integration, VAS

integration, database and security architecture, administration, merchant systems, technical documentation, and ongoing support.

That contribution is not only future time. It is a foundation that already runs, and that the commercial platform extends.

11

Team and operating structure

The Red Face team is an active development and operating resource, working from the agreed office and covering engineering, product, design, marketing, business development, merchant acquisition, testing, operations, and customer support.

The project is an active development and commercial programme, not a piece of outsourced software that is handed over and left.

12

Partnership structure

A project partnership is being formed with **Darren**. His surname is still to be confirmed in the formal documents.

The partnership brings commercial and investment capacity together with technology and product development, to build and sell the terminal platform. Equity participation for the contributing parties has been discussed. Percentages, shareholder names, vesting, responsibilities, and the other commercial terms are not final until they are confirmed in writing and put into legal documents.

PARTY	PARTICIPATION DISCUSSED
Red Face	Equity participation – percentage to be confirmed
Manace, and the relevant founder participation	Equity participation – percentage to be confirmed
René, and the relevant shareholder participation	Equity participation – percentage to be confirmed
Darren, investor side	Subject to the final agreement

Write each agreed percentage on the signature page in ink before either party signs. A blank percentage is not an agreed share. This memorandum does not transfer shares by itself. Shares, vesting, and salaries take effect when they are written on the signature page or in a shareholders' agreement that both parties sign after this one.

13

Compensation and working arrangement

Equity is long-term participation in the value of the company. Salary or other compensation is payment for ongoing work. Where the parties agree, members of the Red Face team may be paid for that work. Compensation should be written down separately from the equity agreement.

14

Investor value

- **Payments.** Processing and merchant services.
- **VAS.** Airtime, data, electricity, and other digital products.
- **Hardware.** Terminal sales or deployment.
- **Merchant services.** Recurring revenue from merchants on the platform.
- **Software.** Subscription, service, or platform fees.
- **Network.** More terminals means a wider distribution network for digital services.

15

Strategic objective

One device, several services, several revenue streams. Accept payments, sell services, earn commission, manage the transactions, and grow the business – from the same terminal.

16

Immediate priorities

1. Finalise the commercial partnership structure.
2. Confirm the equity allocation in writing.
3. Confirm each partner's role.
4. Finalise the hardware specification.
5. Select the first certified payment device.
6. Keep extending the terminal software that already exists.
7. Connect the first real payment provider and acquirer.
8. Set the commercial model on the VAS provider that is already connected: markup, commission, and settlement.
9. Define merchant commission.
0. Define settlement and reconciliation against live providers.
1. Establish the regulatory and compliance requirements.
2. Prepare a controlled pilot.
3. Deploy the first pilot terminals.
4. Measure volume, reliability, and whether a merchant actually earns.

17

Long-term vision

The long-term product is more than a payment terminal. It is commerce infrastructure that a person can hold: people, payments, VAS, hardware, software, and trade in one system. The technology should not only serve businesses that already exist. It should also give someone a way to start selling, transacting, and earning.

Conclusion

The project is past the idea stage. Red Face has a working software foundation: connected terminals, software releases with verification and rollback, remote configuration, transaction states, a live VAS provider, and an operations desk.

The next stage is commercial: certified hardware, an acquirer, merchant commissions, durable accounts, and the legal partnership. With investment, the right partners, a regulatory structure, and continued engineering, the platform can become a network of smart payment and service terminals.

Red Face provides the technology, the engineering, and the product foundation. The status of the project is prototype, moving into commercial development.

The parties adopt this memorandum as their shared record by signing the execution page.

EXECUTION

Signatures

By signing, each party confirms that they have read this memorandum and that it is the shared record of the project, the work already built, the roles, and the priorities in this document.

Complete the percentage lines in ink before signing. Leave a line blank only if that share is to be settled in a later shareholders' agreement, and write "later agreement" on that line.

PARTY	AGREED PARTICIPATION, WRITTEN BEFORE SIGNATURE
Red Face	
Manace / founder participation	
René / shareholder participation	
Darren	

Signed at _____, on this _____ day of _____
20_____.

Print two copies. Both parties sign both copies. Each party keeps one fully signed copy.

For Red Face Technology and product party FULL NAME _____ CAPACITY _____ SIGNATURE _____ DATE _____	Darren Commercial and investment party FULL NAME AND SURNAME _____ CAPACITY _____ SIGNATURE _____ DATE _____
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PAY is the name on the product. Red Face is the team building it. Card numbers and PINs are not collected by this software. This page is part of the memorandum and is signed by both parties.